

HOW TO IMPROVE YOUR CREDIT SCORE

Here is your path to a healthy credit score

Pay bills regularly: Always pay all your bills on time. To improve your score, you need to maintain no late payment status for the longest period possible

Get rid of debt: If there is any loan outstanding, pay it off as soon as possible. By reducing debt, you can improve your credit score fast

Keep an eye on spends: Do not overspend on your credit cards. Generally, try to stay below the credit limit and first pay those credit cards that are close to their credit limit

Don't close old accounts: Having a long credit history increases and improves the score. It is better to have old accounts and credit cards in your portfolio

Don't apply for a new credit card: If you already have a bad credit score, then applying for a new credit card is a bad idea. By lowering the outstanding amount one can improve the credit score



In India, it [credit score] is a regulated activity as the four credit bureaus have a licence [each] from the RBI.

ANURAG SINHA
Co-founder and CEO, OneScore



If you have a loan running or use revolving credit, it is wise to check your score every quarter at the minimum, if not every month

ADHIL SHETTY
CEO, BankBazaar.com

Experian, Equifax or CRIF Highmark. "If you have a loan running or use revolving credit, it is wise to check your score every quarter, if not every month," says Adhil Shetty, CEO, BankBazaar.com, an online marketplace for loans and credit cards.

Shetty adds that fintechs like his help customers access credit reports as many times as they wish free of cost. The catch is if you download your credit report from fintech companies, you share the data with them. Else, you can download the report directly from the website of any credit bureau. The hitch is that the credit bureaus give only one report free in a year.

Each bureau has a slightly different way of organising the information; your credit score may also differ from bureau to bureau since each has its unique algorithm. But all credit reports broadly have three heads:

Personal details: This section has your PAN, contact number, addresses, and any other personal detail you may have furnished. Check for typos and incorrect identity information when you read the report.

Credit account information: This is the most important section. It has details of all your loans and credit card accounts; and details such as the type of account, status, date of account opening, current balance, payment history and overdue amount. It also contains the details of current and closed loan accounts; account opening and closing dates, and lenders' details, among others. "Check for any errors or discrepancies in this section very carefully. Pay special attention to ensure there is no mismatch between your records and the report regarding payment history, payment due date and payment status, and that the account number and account name are all correct," says Shetty.

Binani adds, "The payment history is captured for each month

along with the 'days past due'. If you have made all your payments on time, the 'days past due' should be zero and, if not, it shows the number of days past the due date for which your payment was overdue."

Credit enquiries: Make sure to check credit enquiries, as this section has details of any hard enquiry on your profile carried out by a credit institution in response to a loan or credit application sent by you. If you don't recognise any entry, it could be an attempt at identity theft. "If you find an account that you did not create or a credit enquiry that you did not initiate, you must dispute the same with the concerned bureau," says Binani.

Set the Score Straight

If you find any discrepancy while reviewing your report, rectify it immediately. You can raise a complaint online directly with the bureau, and it usually takes 30 days to correct the reported error. However, when the process involves multiple players such as the lender and the payment partner, the rectification may take more time.

"In case your score has got impacted by identity theft, then the only way is to reach out to the lender and lodge a complaint. In parallel, you should reach out to all four credit bureaus and request the removal of the account from your report. Credit bureaus then coordinate with the lender and remove these accounts after confirmation from the lender. Once removed permanently, it will correct your credit score. If not corrected, this will have long-term implications as future lenders will continue to see this as an actual default, impacting your future borrowing capabilities," says Sinha of OneScore.

Prevention is better than cure. This is also true for financial health. So, regularly check your credit score and stay healthy financially. **BT**

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